does not have an effective registration statement? If so, what are those challenges, and how could we address them?

284. Should we amend rule 156 to address statements and representations about a fund's fees and expenses that could be materially misleading, as proposed? If not, why not? Are the proposed amendments overly broad or overly narrow? What impact would the proposed amendments have on current investment company marketing practices? Should the proposed amendments be requirements rather than a factor for consideration?

285. Is the proposed factor in rule 156 appropriately tailored to address potential materially misleading statements or representations regarding a fund's fees and expenses?[690] If not, how could we modify the proposed factor to address potential materially misleading statements or representations without negatively affecting a fund's ability to provide the types of fee and expense information that investors want in fund advertisements?

286. Should we provide additional factors an investment company should consider to avoid potentially materially misleading statements regarding a fund's fees and expenses? If so, what factors and why? For instance, are there circumstances in which a fund might include statements in its advertisements that suggest or imply present or future levels of fees and expenses that would not be justified under the circumstances and that might be materially misleading to investors? Could this potentially occur, for example, if a fund that has performance fees or fulcrum fees advertises its current fees and expenses in a manner that suggests or implies that the fund's fees and expenses would remain the same in the future, even though the fund's fee and expenses could be significantly higher if the fund's future

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[690] *See* proposed rule 156(b)(4).

performance triggers the performance fee or fulcrum fee? What are the advantages or disadvantages of including a new factor in rule 156 related to statements that suggest or imply present or future levels of fees and expenses that would not be justified under the circumstances? Would the proposed amendments to rule 156 already appropriately address this concern?

287. Should we provide additional guidance on the types of explanations, qualifications, limitations, or other statements that funds that have zero-expenses (or close to zero expenses) based solely on information in their prospectus fee tables could include in their advertisements to address concerns about materially misleading statements or provide standardized statements for advertisements or prospectuses? For example, should such a statement provide that the fund, its adviser, or its affiliates may receive compensation from the fund that is not disclosed? Should the statement instead provide that there are other costs that will reduce the value of an investment in the fund? Are there other statements that would explain the issue more clearly to investors or that would be more accurate for different types of funds? Would standardized language be appropriate for different types of funds with zero expenses (or close to zero expenses) based solely on information in their prospectus fee tables, or should funds have discretion to tailor the language to address a particular fund's facts and circumstances? Would guidance of the type that this request for comment describes be appropriate for other scenarios related to the presentation of fees and expenses in fund advertisements, and if so, what other types of scenarios should the guidance address?

288. Would the proposed amendments to the investment company advertising rules create unintended incentives or results, such as an incentive for funds to no longer include fee and expense information in fund advertisements? If so, how could we reduce the impact of

those unintended incentives or results while still promoting more balanced and transparent presentations of fund fees and expenses in advertisements?

J. Technical and Conforming Amendments

We are proposing technical and conforming amendments to various rules and forms. As discussed above, our proposal would revise rule 30e-3 to exclude investment companies registered on Form N-1A from the scope of the rule. As a conforming amendment, we propose to revise Form N-1A and rule 498 under the Securities Act to remove legends required by rule 30e-3.[691] Likewise, as another conforming amendment, we propose to withdraw previously adopted amendments to Form N-1A and rule 498 that are scheduled to become effective on January 1, 2021 and that would reference requirements of rule 30e-3.[692] As technical amendments, we also propose to update certain terminology in Form N-1A to reflect modern usage and presentation and to remove references to collect phone calls.

As discussed above, we are also proposing new rule 498B to address shareholders' continued receipt of annual prospectus updates in the years following their initial investment in a fund. As a conforming amendment, we propose to amend 17 CFR 200.800 to display control numbers assigned to information collection requirements for rule 498B by the Office of Management and Budget pursuant to the Paperwork Reduction Act. As discussed further below, an agency may not conduct or sponsor, and a person is not required to respond to a collection of information unless it displays a currently valid OMB control number.[693]

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691 *See* Item 1(a)(5) and Item 27(d)(7) of Form N-1A; rule 498(b)(1)(vii).

692 *See* Rule 30e-3 Adopting Release, *supra* footnote 14, at amendatory instructions 5, 6, and 16.

693 *See infra* Section IV.

Our proposal would also simplify the fee table currently included in Form N-1A and move the full fee table to a different location in Form N-1A.[694] To ensure that forms cross-referencing the current fee table in Form N-1A continue to reference that same table, we propose to update cross-references in Schedule 14A and Form N-14.[695]

Finally, as technical amendments, we also propose to update the current SAI requirement to provide the age and length of service for a fund's officers and directors to allow funds to instead disclose for each officer and director the birth year and the year their service began.[696] We also are proposing a similar instruction for the length of service for portfolio managers that must be disclosed in the prospectus to permit a fund to disclose the year the portfolio manager's service began.[697] We believe that permitting a fund to use a static date rather than updating this information annually will reduce a burden on funds that can arise in updating a previously disclosed age, for example, while providing investors equivalent information. We also have observed that some funds already disclose each officer and director's year of birth and the date the services of the officers, directors and portfolio managers began.

We request comment generally on these technical and conforming amendments, and specifically on the following issues:

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694 *Compare* proposed Item 3 (Risk/Return Summary: Fee Summary) *with* proposed Item 8A (Fee Table).

695 *See* proposed Schedule 14A [14a-101 under the Securities Act] and Form N-14 [17 CFR 239.23].

696 *See* proposed Item 17(a)(1) of Form N-1A.

697 *See* proposed Item 5(b) of Form N-1A.

269. Are these technical and conforming amendments appropriate in light of the other changes contemplated by our proposal?

270. Are there any additional technical or conforming amendments that should be made in order to fully implement the proposed changes in this rulemaking? For example, should we update cross-references in Forms N-4 and N-6 to the current fee table in Form N-1A (which would be revised under our proposal to become a summary table), even though those cross-references are with regard to the line-item "Total Annual Fund Operating Expenses" which would not be changed under our proposal and thus would be identical in both the summary fee table and the full fee table? If so, why?

271. Are there any proposed technical or conforming amendments that we should not make, or should modify? For example, should forms cross-referencing the current fee table in Form N-1A continue to reference that same fee table, even though that fee table would be revised under our proposal to become a summary fee table? If so, why?

K. Compliance Date

We propose to provide a transition period after the effective date of the amendments to give funds sufficient time to adjust their prospectus and shareholder report disclosure practices and to provide sufficient time to comply with the new fee and expense requirements for investment company advertisements, as described below. We are proposing generally a compliance date of 18 months after the amendments' effective date. Based on our experience,

we believe the proposed compliance dates would provide an appropriate amount of time for funds to comply with the proposed rules.[698]

- *Shareholder reports and related requirements.* All shareholder reports for funds registered on Form N-1A would have to comply with Item 27A of Form N-1A if they are transmitted to shareholders 18 months or more after the effective date. These funds also would have to comply with the amendments to rule 30e-1 and Form N-CSR no later than 18 months after the effective date by, among other things, meeting the website availability requirements for the new Form N-CSR items.
- *Rule 30e-*3 *and related amendments.* We propose that the amendments to the scope of rule 30e-3, and conforming amendments to Form N-1A and rule 498 to remove legends required by rule 30e-3, would be effective 18 months after final rules are adopted to provide time for funds relying on rule 30e-3 to transition to the proposed disclosure framework.
- *Rule 498B.* Funds could rely on rule 498B to satisfy prospectus delivery requirements for existing shareholders beginning on the effective date of the rule, provided the fund is also in compliance with the amendments to Item 27A of Form N-1A, rule 30e-1, and Form N-CSR.
- *Amended prospectus disclosure*. We propose that funds would have 18 months after the effective date to comply with the amendments to prospectus disclosure in Form N-1A, including the fee summary and revised principal risk disclosure.

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698 For example, the proposed compliance dates are generally consistent with the compliance dates the Commission has provided for similar disclosure-based amendments. *See* Variable Contract Summary Prospectus Adopting Release, *supra* footnote 27, at section II.G.

- *Amended advertising rules*. We propose to provide 18 months after the effective date for investment company advertisements to comply with the amendments to rules 482, 433, and 34b-1. We do not propose to provide an additional compliance period for the amendments to rule 156 after the amended rule is effective.

We request comment on the proposed compliance and effective dates, including the following:

272. Are the proposed compliance dates appropriate? If not, why not? Is a longer or shorter period necessary to allow registrants to comply with one or more of these particular amendments? If so, which proposed amendments, and what would be an appropriate compliance date?

273. Is the proposed effective date for the rule 30e-3 amendments appropriate? Should the effective date of the rule 30e-3 amendments align with the proposed compliance date for the other shareholder report-related amendments, as proposed? If not, why not?

274. Should we allow funds to begin to rely on proposed rule 498B as soon as the rule is effective, provided they comply with the amendments to Item 27A of Form N-1A, rule 30e-1, and Form N-CSR? If not, why not?

III. ECONOMIC ANALYSIS

A. Introduction

We are mindful of the costs imposed by, and the benefits obtained from, our rules. Section 3(f) of the Exchange Act, section 2(b) of the Securities Act, and section 2(c) of the Investment Company Act state that when the Commission is engaging in rulemaking under such titles and is required to consider or determine whether the action is necessary or appropriate in (or, with respect to the Investment Company Act, consistent with) the public interest, the Commission shall consider whether the action will promote efficiency,

competition, and capital formation, in addition to the protection of investors. Further, section 23(a)(2) of the Exchange Act requires the Commission to consider, among other matters, the impact such rules would have on competition and states that the Commission shall not adopt any rule that would impose a burden on competition not necessary or appropriate in furtherance of the purposes of the Exchange Act. The following analysis considers, in detail, the potential economic effects that may result from the proposed rule and amendments, including the benefits and costs to investors and other market participants as well as the broader implications of the proposal for efficiency, competition, and capital formation.

The proposed rule would affect the provision of information by funds to investors, including existing fund shareholders and new or prospective fund investors.[699] For example, under the proposal funds would provide existing shareholders with more concise and visually engaging shareholder reports that highlight key information, including fund expenses, performance, and holdings.[700] The proposed rule would also affect how funds transmit shareholder reports. Under the proposal, funds would not be permitted to deliver paper notices regarding the online availability of shareholder reports in reliance on rule 30e-3. Instead, funds would deliver the more concise shareholder report in full.[701] Through a layered disclosure framework, additional information that may be of interest to market professionals and some shareholders, such as fund financial statements, would be available online and

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699 The term "fund' in this proposal includes all Form N-1A filers, except where otherwise indicated.

700 *See supra* Sections II.B and II.C.

701 *See supra* Section II.G.

delivered in paper or electronic format upon request, free of charge.[702] Further, instead of delivering annual prospectus updates to existing shareholders, funds would have the option to notify shareholders promptly of certain material changes to the fund, provided the prospectus is available online and delivered upon request, free of charge.[703]

In addition to amendments that would primarily affect existing fund shareholders, the proposed rule would amend prospectus disclosure regarding fees and expenses and principal risk, which we expect to primarily affect new or prospective investors in a fund.[704] Finally, to improve fee and expense information that is available to investors more generally, we propose to amend the investment company advertising rules to require that investors receive more transparent and consistent fee and expense information.[705]

We expect the proposed rule to benefit investors by permitting them to make more efficient use of their time and attention, and by facilitating informed investment decisions and choice among financial products. We expect some funds to experience lower costs of delivering materials under the proposal, which may be passed on to investors as a further benefit of the proposal, while other funds may experience increased delivery costs that would be a cost of the proposal to the shareholders of those funds.

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702 *See supra* Section II.D.

703 *See supra* Section II.F.

704 *See supra* Section II.H.

705 *See supra* Section II.I.

B. Economic Baseline and Affected Parties

1. Descriptive Industry Statistics

The proposed rule would affect funds and investors who receive fund disclosure under the current rules.[706] Approximately 101.6 million individuals own shares of registered investment companies, representing 57.2 million (or 44.8%) of U.S. households. An estimated 99.5 million individuals own shares of mutual funds in particular, representing 56.0 million (or 43.9%) of U.S. households.[707] The assets of all registered investment companies exceeded $21 trillion at year-end 2018, having grown from about $5.8 trillion at the end of 1998.[708] Based on staff analysis of Form N-CEN filings, we estimate that, as of March 2020, the number of funds that could be affected by the proposed amendments to disclosure and delivery requirements for prospectuses and shareholder reports is 12,410, including 10,310 mutual funds and 2,100 ETFs that register on Form N-1A.[709] As of March 2020, the 10,310

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706 The vast majority (89%) of mutual fund shares are estimated to be held through retail accounts. *See* 2019 ICI Fact Book, *available at* https://www.ici.org/pdf/2019_factbook.pdf. Based on staff analysis of Form 13F data, the mean institutional holding is estimated to be approximately 48% for exchange-traded funds. We calculated "institutional holding" as the sum of shares held by institutions (as reported on Form 13F filings) divided by shares outstanding (as reported in CRSP). Year-end 2018 Form 13F filings were used to estimate institutional ownership. We note that there are long-standing questions around the reliability of data obtained from Form 13F filings. *See* Covered Investment Fund Research Reports, Investment Company Act Release No. 33311 (Nov. 30, 2018) [83 FR 64180, 64199 (Dec. 13, 2018)], at n.223; *see also* Reporting Threshold for Institutional Investment Managers, Exchange Act Release No. 89290 (July 10, 2020) [85 FR 46016] (July 31, 2020), at n.63 (proposing certain technical amendments to Form 13F that the Commission believes may reduce filer mistakes and data inaccuracies).

707 *See* 2019 ICI Fact Book, *supra* footnote 706. Among mutual fund-owning households, 63% held funds outside employer-sponsored retirement accounts, with 20% owning funds only outside such plans.

708 See id.

709 These estimates are based on staff analysis of Form N-CEN filings received through March 2020 and Bloomberg data.